



STATEMENT OF ADVICE

Financial Planning Strategy

Prepared for:

Gavin and Sonia Leahy

Of

5 Snowbush Link
LANGWARRIN VIC 3910

Prepared on:

20th December 2022

By your Adviser:

Andrew Lord B Bus (Acc), Dip FS (Fin Plan)

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What this document is about

This Statement of Advice (or SoA) is an import document.

- It provides you with information about our advice so you can make a decision about implementing the advice.
- It should be read in conjunction with other documents such as Product Disclosure Statements and our Financial Services Guide.

What to do after reading this Statement of Advice

Please contact us.

- If you have any questions.
- If we have omitted, overlooked or incorrectly understood any of your relevant circumstances.
- When you are ready to implement the recommendations.
- Or, if you decide you want to do something else and need our advice or assistance.

20/12/2022

Gavin and Sonia Leahy
5 Snowbush Link
LANGWARRIN VIC 3910

Dear Gavin and Sonia,

I am pleased to enclose your Statement of Advice (SoA).

It is an important document that you should read and understand before making a decision to proceed further.

We have based the strategies and recommendations in this document on our understanding of your current personal and financial position. If any of this information does not reflect any part of your current position, goals and objectives please advise us immediately and we will make the necessary changes.

The SoA sets out our recommended strategies to address your needs, together with a recommended course of action to implement these strategies.

When you are ready to proceed, we would be very happy to help you with the implementation of the advice, including the completion and lodgement of application forms and other documents.

Please note, our recommendations in this Statement of Advice are valid for 30 days from the date on the cover of this document. If your circumstances change before you implement our recommendations, or if you don't act on them within 30 days, they may no longer be appropriate for you. If that happens, please ask us to review your situation again before you take any action.

Once implemented, we should review your situation on a regular basis to ensure we make the most of any changes that may impact on the strategies I have recommended for you.

Yours sincerely,

Andrew Lord
B Bus (Acc), Dip FS (Fin Plan)
Authorised Representative No 324798 of
Pareto Group Pty Ltd

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Purpose of this document

The following Statement of Advice (SoA) is an outline of the financial plan discussed with your financial planner. It details the recommendations needed to execute your plan and achieve your financial objectives.

Timeframe for our advice

Our recommendations in this SoA are valid for 30 days from the preparation date on the cover of this document. If your circumstances change before you implement our recommendations, or if you don't act on them within 30 days, they may no longer be appropriate for you. If that happens, please ask us to review your situation before taking any action.

Check for accuracy

This SoA is based on the information you provided. Please read the document carefully, checking that your details are correct and that no important facts are missing. If anything is wrong or missing, please let us know immediately—otherwise our advice may be based on incorrect information and may not be right for you.

Limitations of our advice

We cannot give advice on:

- | | |
|--------------------------------|--------------------------------------|
| ▪ Trust or business structures | ▪ Direct share or property purchases |
| ▪ Taxation | ▪ Legal matters |
| ▪ General insurance | |

Please don't consider any of this document's recommendations to be advice in any of these areas. If you need advice in these areas, please see a qualified professional in that field.

Assumptions we've made

When giving advice, we make certain assumptions to demonstrate how the advice could affect your financial situation. We've based our advice on economic information and legislation that was current when we prepared your SoA.

All dollar amounts in this SoA are in today's dollars, even when we mention future income, expenses, investment amounts and so on. Naturally we can't predict what future inflation rates will be, so we can only make assumptions based on past trends. Also, all amounts listed in this document are "p.a." (per annum) unless otherwise stated or implied.

Product selection

We are committed to giving you the best products for your situation. When preparing your advice, we considered and recommended only those products on Pareto Group's "Approved Product List". This list was compiled by a dedicated Investment Review Committee, which regularly reviews it. To see the complete product list, please ask us.

Introduction

You are entitled to receive a Statement of Advice (SoA) whenever we provide you with any personal financial advice. Personal financial advice is advice that takes into account any one or more of your objectives, financial situation and needs.

This SoA is a record of the personal financial advice provided to you and includes information on the basis on which this advice is given, information about remuneration including fees, any other benefits and any interests, relationships or associations which might influence the making of the advice.

If this advice includes a recommendation to you to acquire a particular financial product (other than securities) or an offer to issue or arrange the issue of a financial product to you, we will also provide you with a Product Disclosure Statement containing information about the particular product to help you make an informed decision about that product.

The Scope of Our Advice

In this statement of advice, the main focus is on:

- Superannuation contribution strategies
- Superannuation structure
- Overall retirement planning

This advice is based on information we have obtained from you. You must ensure the information is accurate and complete. Otherwise, this advice may be based on inaccurate or incomplete information relating to your investment objectives, financial situation or needs. You must therefore assess whether the advice is appropriate, in the light of your own individual investment objectives, financial situation or needs.

You recognise in each of the areas of advice we provide, we only provide advice to the extent we are able to under the relevant legislation.

Our Investment Recommendations

In respect of the specific investments, we recommend as part of our advice you are entitled to a 14-day cooling off period for your initial investment. A cooling off period generally means a period of time after which you have provided your capital for investment, where you can change your mind and request for your capital to be returned to you.

Each fund manager or investment provider may implement the cooling off period in a slightly different manner. Therefore, we recommend you refer to the Product Disclosure Statement for each of the recommended investments in order to understand the operation of each provider's cooling off period.

Your Adviser

At any time should you have any questions or concerns, in the first instance please contact your adviser Andrew Lord on (03) 9596 5111.

Andrew Lord is authorised to represent Pareto Group Pty Ltd. Should you wish to discuss matters of concern about your adviser or the advice you have received please contact us on 03 9596 5111.

The Planning Process

Gavin and Sonia, *Financial Planning* is a process to help you reach both your Personal and Financial Goals and Objectives. In order to achieve this, we jointly need to undertake a number of tasks, including:

- ✓ Confirm your personal goals and lifestyle objectives;
- ✓ Quantify the resources required to meet your goals and objectives;
- ✓ Identify any gaps in your current plans and your stated goals and objectives;
- ✓ Develop suitable strategies to address any differences that may exist bearing in mind your attitude to investing and your risk profile;
- ✓ Conduct a regular review of the strategies we put into effect to ensure they keep pace with your changing needs, legislative changes and the investment environment.

Executive Summary

In this plan our advice considers the following areas of your financial circumstances.

Your Goals and Objectives

After our discussions I have listed below what we agreed were your key goals and objectives. The points listed below form the basis of the plan I have prepared, and therefore you should read them carefully now to ensure that we have an accurate foundation on which to proceed. If there are any modifications required, please advise us prior to the commencement of your financial plan.

Your goals and objectives are to:

- Review your superannuation portfolio and determine appropriate strategies moving forward.
- Explore ways in which to maximise your retirement nest egg as you move into the next phase of your working life.
- Consider appropriate superannuation contribution strategies.
- Assess appropriate strategies to transition to retirement in the most tax effective manner.

Personal Information

During our discussions and from the information you have provided, your Personal Details can be summarised as follows:

Personal Details

Title	Mr	Ms
First Name	Gavin	Sonia
Surname	Leahy	Leahy
Gender	M	F
Date of Birth	20/09/1968	25/08/1968
Age Last Birthday	54	54
Marital Status	Married	Married

Employment Details

Employment Status	Full-Time	Full Time
Occupation	Graphic Artist	Bookkeeper
Employer	Self-Employed	Self Employed

Estate Planning

	Gavin	Sonia
Do you have a Current Will?	Yes	Yes
Do you have Current Powers of Attorney?	No	No
Do you have a Testamentary Trust?	No	No

Current Assets and Liabilities

The following is an Asset and Liabilities summary that estimates your current Net Worth position based on the information provided.

ASSETS

Lifestyle Assets	Value
Residential Home	\$1,000,000
Total Lifestyle Assets	\$1,000,000

Investment Assets	Value
Cash	\$150,000
Investment Property (50% Share)	\$300,000
Total Investment Assets	\$450,000

Superannuation Assets	
Gavin	
MLC Super	\$40,784
Sonia	
ANZ Smart Choice Super	\$38,684
Total Superannuation Assets	\$79,468

Total ASSETS	\$1,529,468
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LIABILITIES

Investment Property Debt (50% share)	\$297,500
Total Liabilities	\$297,500

NET WORTH	\$1,231,968
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Notes: As the above information has been used in preparing our recommendations, please advise us of any errors or omissions. The 'Total' column indicates the value of assets and liabilities which are owned by you. This report does not show the value of any portion of the asset or liability that may be owned by a third party or associated entity.

Your Investor Risk Profile

The following section of your plan helps to ensure that I clearly understand your attitude to investment selection. Additionally, investments contain various characteristics, which may or may not suit each individual investor.

Gavin and Sonia, based upon your responses to the Risk Profile Questionnaire, it was determined that you both have a **Balanced** investor risk profile in regard to investments inside superannuation.

- A Balanced investor places greater emphasis on capital appreciation with current income and asset preservation being of a secondary concern.
- This requires an investments time horizon of between 5 – 7 years.
- Their portfolio would typically comprise an overweight holding in shares and property with a small exposure to income bearing securities such as cash and fixed interest.

A Balanced investor will typically diversify their investment in the following manner:

Australian Shares	34%
International Shares	20%
Fixed Interest	26%
Property	14%
Cash	6%

Our research indicates that long term returns will be best achieved through a diversified portfolio covering all major asset classes (i.e. Cash, Fixed Interest, Shares and Property). By covering all primary investment markets, the risks and volatility of your investments can be managed to levels consistent with your investment profile, whilst maintaining the potential for long term growth. Any recommendation will be based on your risk tolerance, while in balance with your goals and objectives.

Strategy Recommendation

Tax Rates

When assessing the most tax effective environment for your investment assets, we need to consider the tax that would be payable on any income that these investments will generate. The current tax rates are as follows:

Income Earned in your personal name

Tax rates 2022-23

<i>Taxable income</i>	<i>Tax on this income</i>
\$1 – \$18,200	Nil
\$18,201 – \$45,000	19c for each \$1 over \$18,200
\$45,001 – \$120,000	\$5,092 plus 32.5c for each \$1 over \$45,000
\$120,001 – \$180,000	\$29,467 plus 37c for each \$1 over \$120,000
\$180,001 and over	\$51,667 plus 45c for each \$1 over \$180,000

* The above rates **do not** include the Medicare levy of 2.0%.

Income Earned in the superannuation environment

Superannuation in 'accumulation' phase	-	Tax rate = 15%
Superannuation in 'pre-retirement pension' phase	-	Tax rate = 15%
Superannuation in 'allocated pension' phase	-	Tax rate = 0%

Tax on superannuation earnings, contributions and income streams

	Non-superannuation	Super accumulation and pre-retirement pension phase	Super allocated pension phase
			After age 60
Salary/pension income	Marginal tax rate (max 45% + medicare)	n/a	Tax free
Super contributions (SGC, salary sacrifice)	n/a	15%	n/a
Investment income	Marginal tax rate (max 45% + medicare)	Maximum 15%	Tax free*
Capital gains	Marginal tax rate (50% discount if held for more than 12 months)	10% (15% if asset held less than 12 months)	Tax free*

Superannuation Contribution Limits

Table 1- Concessional contribution limits

Concessional contributions include employer and self-employed contributions such as salary sacrifice, superannuation guarantee and personal concessional contributions.

Date	Limit (per annum)				
	To Age 49	Age 50-59	Age 60-67	Age 68-74*	Age 75 and over
From 1 July 2012	\$25,000	\$25,000	\$25,000	\$25,000	SGC only
From 1 July 2013	\$25,000	\$25,000	\$35,000	\$35,000	SGC only
From 1 July 2014	\$30,000	\$35,000	\$35,000	\$35,000	SGC only
From 1 July 2017	\$25,000	\$25,000	\$25,000	\$25,000	SGC only
From 1 July 2021	\$27,500	\$27,500	\$27,500	\$27,500	SGC only

*Must be employed at least 40 hours during any consecutive 30-day period in the financial year you would like to make the contributions.

Concessional Contributions were previously known as Deductible Contributions (e.g. Salary Sacrifice).

Table 2 - Non-concessional contribution limits

Date	Limit on after-tax contributions	Eligibility Requirements		
		Under age 67	Age 67 to 74	Age 75 and over
From 1 July 2007	\$150,000 p.a.	May bring forward two years of contributions to make a \$450,000 contribution in one financial year	Must be employed	Cannot contribute
From 1 July 2014	\$180,000 p.a.	May bring forward two years of contributions to make a \$540,000 contribution in one financial year	Must be employed	Cannot contribute
From 1 July 2017	\$100,000 p.a.	May bring forward two years of contributions to make a \$300,000 contribution in one financial year	Must be employed	Cannot contribute
From 1 July 2021	\$110,000 p.a.	May bring forward two years of contributions to make a \$330,000 contribution in one financial year	Must be employed	Cannot contribute
From 1 July 2022	\$110,000 p.a.	May bring forward two years of contributions to make a \$330,000 contribution in one financial year		Cannot contribute

Superannuation Funds

Gavin and Sonia, you currently have the following superannuation funds:

Gavin

MLC MasterKey Super Fundamentals – Account Number 6299656

- The fund currently has a balance of approximately \$40,784

Sonia

ANZ Smart Choice Super – Account Number 012013327197511

- The fund currently has a balance of approximately \$38,684

Superannuation Accumulation Funds

- You effectively have two options in terms of how your existing superannuation monies are structured:
 - Continue to hold these monies in your existing MLC MasterKey and ANZ Smart Choice super accounts respectively.
 - Roll across these superannuation monies to a more actively managed wholesale 'master trust' superannuation accumulation platform.

Recommendations:

- Gavin, rollover the entire balance of your MLC Masterkey Super Fundamentals fund into the recommended wholesale platform invested in a "Balanced" portfolio.
- Sonia, rollover the entire balance of your ANZ Smart Choice super fund into the recommended wholesale platform invested in a "Balanced" portfolio.
- All future contributions will be directed into the recommended funds.

Investments Within Superannuation

MLC MasterKey Super Fundamentals – Account Number 6299656 (Gavin)

Gavin, you have a superannuation fund with MLC MasterKey Super Fundamentals invested in the following investment options:

- 79% - 'Horizon 4'
- 21% - 'Stable'

The overall asset allocation of your MLC MasterKey Super Fundamentals is:

Asset Class	% of Portfolio
Australian Shares	21.06%
International Shares	23.85%
Property	9.79%
Private Equity	4.95%
Other	5.16%
Fixed Interest / Bonds	26.62%
Cash	8.57%
	100%

Current MLC MasterKey Profile Compared to a 'Balanced' Benchmark

Asset Class	Current Portfolio	Benchmark Profile for a Balanced Portfolio	Deviation
Australian Shares	21.06%	34%	-12.94%
International Shares	23.85%	20%	+3.85%
Property	9.79%	14%	-4.21%
Private Equity	4.95%	0%	+4.95%
Other	5.16%	0%	+5.16%
Fixed Interest	26.62%	26%	+0.62%
Cash	8.57	6%	+2.57%

MLC MasterKey Portfolio Historical Performance at 30/11/22:

	1 year	3 years (p.a.)	5 years (p.a.)
MLC MasterKey*	-3.50%	4.00%	5.40%

**The MLC 'Stable' Fund is a new investment option and therefore does not have historical returns over a 1, 3 and 5-year period. The above returns are for the MLC 'Horizon 4' investment option over this period.*

ANZ Smart Choice Super – Account Number 012013327197511 (Sonia)

Sonia, you have a superannuation fund with ANZ Smart Choice invested in the following options:

- 57% - 'Multi Series 70'
- 41% - 'Stable'
- 2% - 'Conservative'

The overall asset allocation of your ANZ Smart Choice Super is:

Asset Class	% of Portfolio
Australian Shares	8.29%
International Shares	50.11%
Property / Infrastructure	5.12%
Fixed Interest	20.60%
Other	2.07%
Cash	13.81%
	100%

Current ANZ Smart Choice Super Profile Compared to a 'Balanced' Benchmark

Asset Class	Current Portfolio	Benchmark Profile for Balanced Portfolio	Deviation
Australian Shares	8.29%	34%	-25.71%
International Shares	50.11%	20%	+30.11%
Property/Infrastructure	5.12%	14%	-8.88%
Fixed Interest	20.60%	26%	-5.40%
Other	2.07%	0%	+2.07%
Cash	13.81%	6%	+7.81%

**The Multi Series 70 option is a new option and does not have returns over 1, 3 and 5-year period. Due to the fact that this option makes up 57% of your portfolio, accurate weighted average performance cannot be calculated and compared to an equivalent Master Trust Platform portfolio.*

Option 1 – Maintain Existing MLC MasterKey Fundamentals and ANZ Smart Choice Super funds.

Gavin

You are invested in MLC's MasterKey Super Fundamentals which is not aligned with your Investor Risk Profile.

The asset allocation of this option is detailed on the previous page.

Downside:

- The investment options available are limited
- You are not invested directly in line with your Investor Risk Profile
- The historical average performance associated with your existing MLC Masterkey Fundamentals Super is lower than the recommended portfolio.

Sonia

You are invested in ANZ's Smart Choice Super which is not aligned with your Investor Risk Profile.

The asset allocation of your portfolio is detailed on the previous page.

Downside:

- The investment options available are limited
- You are not invested directly in line with your Investor Risk Profile

Option 2 – Master Trust Platform (Colonial First State)

Your respective investments in the Colonial First State platform would have a specifically modelled portfolio directly in line with your 'Balanced' Investor Risk Profiles respectively. The specific underlying funds that make up your individual portfolios would be:

Gavin & Sonia

Colonial First State Wholesale Personal Super – 'Balanced' portfolio

	% of portfolio
Realindex Wholesale Australian Share Value	12.00%
First Sentier Wholesale Australian Small Companies	11.00%
Ausbil Wholesale Australian Active Equity	11.0%
Colonial First State Wholesale Index Global Share	20.00%
Ironbark Wholesale Property Securities	7.00%
Pendal Wholesale Property Investment	7.00%
Acadian Wholesale Defensive income	26.00%
FirstRate Wholesale Saver	6.00%
	100.00%

Performance of the alternative Colonial First State Balanced Portfolio at 30/11/2022:

	% of portfolio	1 year	3 years p.a.	5 years p.a.
Realindex Wholesale Australian Share Value	12.00%	12.49%	8.28%	9.26%
First Sentier Wholesale Australian Small Companies	11.00%	-8.20%	9.46%	10.53%
Ausbil Wholesale Australian Active Equity	11.00%	6.65%	9.21%	10.13%
Colonial First State Wholesale Index Global Share	20.00%	-5.94%	6.86%	8.88%
Ironbark Wholesale Property Securities	7.00%	-12.28%	0.92%	5.32%
Pendal Wholesale Property Investment	7.00%	-12.29%	-0.13%	4.87%
Acadian Wholesale Defensive income	26.00%	3.56%	1.00%	1.22%
FirstRate Wholesale Saver	6.00%	2.45%	0.45%	0.45%
	100%	-0.51%	4.76%	6.22%

Benefits:

- The alternative portfolios have outperformed your current funds.
- A sector specific asset allocation strategy takes advantage of expert fund managers who specialise in that single sector.
- You will have access to a wide range of investment options which cannot be accessed in your current funds.
- The alternative wholesale fund platform has a wide range of investment options with access to more than one specialist manager within each asset class.
- The alternative wholesale fund platform allows for ongoing monitoring and management of the fund's performance and asset allocation.
- You would continue to receive ongoing advice from us as your financial adviser as we will have full access to information relating to the recommended superannuation fund. This will enable us to provide thorough and timely advice to you.

Replacement of an Existing Product

Gavin

Type of Fee or Cost	MLC MasterKey - \$40,784	Colonial Wholesale Super Fund – \$40,784
Contribution/Entry fee – this is the fee for initial and subsequent contributions.	Nil	Nil
Withdrawal/Exit Fee – this is the fee for each withdrawal you make	Nil	Nil
Switching Fee – fee charged for switching between investment options in the super fund.	Nil	Nil
Administration Costs – are the fees and costs that cover the operation of the fund. They include admin, member and other fees charged by the product issuer	Admin. Fee 0.30% + \$78 p.a.	Nil
Adviser Service Fee – additional fee paid to financial adviser	Nil	0.60% p.a.
Investment Costs – are the fees and costs the product issuer charge for investing the assets. These include fees paid to external fund mgrs.	0.78% p.a.	0.72% p.a.
Annual average cost - Total \$40,784 investment	\$518 p.a.	\$538 p.a.

Outcomes Post Implementation - Gavin:

- Gavin, the sum of your total ongoing management and administration fees will **increase** by proximately **\$20 PER ANNUM**.
- The Colonial First State Wholesale 'Balanced' portfolio has **outperformed** your current MLC Master Key Super Fundamentals Fund over the past 5 years by an average of **0.82% p.a.**

Sonia

Type of Fee or Cost	ANZ Smart Choice Super- \$38,684	Colonial Wholesale Super Fund – \$38,684
Contribution/Entry fee – this is the fee for initial and subsequent contributions.	Nil	Nil
Withdrawal/Exit Fee – this is the fee for each withdrawal you make	Nil	Nil
Switching Fee – fee charged for switching between investment options in the super fund.	Nil	Nil
Administration Costs – are the fees and costs that cover the operation of the fund. They include admin, member and other fees charged by the product issuer	Admin. Fee 0.20% + \$60 p.a.	Nil
Adviser Service Fee – additional fee paid to financial adviser	Nil	0.60% p.a.
Investment Costs – are the fees and costs the product issuer charge for investing the assets. These include fees paid to external fund mgrs.	0.94% p.a.	0.72% p.a.
Annual average cost - Total \$38,684 investment	\$501 p.a.	\$511 p.a.

Outcomes Post Implementation - Sonia:

- Sonia, the sum of your total ongoing management and administration fees will **increase** by approximately **\$10 PER ANNUM**.

Concessional Superannuation Contributions Carry Forward

Gavin and Sonia, the concessional superannuation contribution cap in previous years was \$25,000 per annum. In the 2021/22 financial year, this cap increased to \$27,500 p.a.

Carry Forward Concessional Contributions:

- If you have a total superannuation balance below \$500,000 you can carry forward any unused concessional contributions cap amounts that accrue from 1 July 2018 for up to five financial years. This allows eligible members who do not use all of their concessional cap in a particular financial year, to carry forward their unused concessional cap amounts to future years.
- To be eligible to make catch-up concessional contributions in a year, you must meet the following conditions:
 - have a 'total superannuation balance' of less than \$500,000 as at 30 June at the end of the financial year immediately preceding the financial year in which the concessional contribution is to be made
 - have previously unused concessional contributions cap amounts that have accrued in one or more of the five financial years preceding the year in which the concessional contribution is made.
- **Gavin**, the following concessional contributions have been made in recent years:

Financial Year	Gavin	Total Allowable Contributions
2018/19	\$1,122	\$25,000
2019/20	\$97	\$25,000
2020/21	\$4,593	\$25,000
2021/22	\$5,200	\$27,500
2022/23	\$5,200*	\$27,500
TOTAL	\$16,212	\$130,000

* 2022/23 Forecast Contribution based on current contributions of \$100 p.w.

- Gavin, you therefore have a total of **\$113,788** in concessional contributions available to you in the 2022/23 financial year. This includes carry forward contributions from the 2018/19, 2019/20, 2020/21, 2021/22 years totalling **\$91,488**.

- **Sonia**, the following concessional contributions have been made to your superannuation fund in recent years:

Financial Year	Sonia	Total Allowable Contributions
2018/19	\$2,554	\$25,000
2019/20	\$1,965	\$25,000
2020/21	\$1,643	\$25,000
2021/22	\$2,078	\$27,500
2022/23	\$3,245*	\$27,500
TOTAL	\$11,485	\$130,000

* 2022/23 Forecast Contributions based on 10.5% of employment income.

- You therefore have a total of **\$118,515** in concessional contributions available to you in the 2022/23 financial year. This includes carry forward contributions from the 2018/19, 2019/20, 2020/21, 2021/22 years totalling **\$94,260**.

Recommendation:

- **Gavin and Sonia**, as your respective superannuation balances are less than \$500,000 you are eligible to make 'catch up' concessional contributions.
- Gavin, consider making a salary sacrifice or a personal concessional contribution to superannuation to lower your taxable income to \$22,000. This would equate to a personal concessional contribution of \$13,920.
- Sonia, consider making a salary sacrifice or a personal concessional contribution to superannuation to lower your taxable income to \$45,000. This would equate to a personal concessional contribution of \$21,829.
- The associated tax benefit is outlined on the following page.

Benefits:

- Personal concessional contributions are made with pre-tax dollars and therefore you will receive a reduction in taxable income for the contributions that you make.
- Your personal concessional contributions will be taxed at a maximum of 15% compared to the 21% and 34.5% respectively if taken as income.
- **The total tax saving each year is anticipated to be:**
 - **Gavin \$1,275**
 - **Sonia \$4,582**

Tax Liability - Gavin

Current Estimated Tax Liability

Income Source	Amount Received	Deduction	Taxable Income	Tax
Gross Income	\$35,920			
Deductions				
Total deductions		NIL		
TAXABLE INCOME			\$35,920	
Tax Payable before Rebates/Credits				\$3,367
LESS Rebates & Credits				
Low to Mid Tax Offset				(\$0)
Low Income Tax Offset				(\$700)
Total Rebates & Credits				(\$700)
TAX PAYABLE after REBATES & CREDITS				\$2,667
Medicare Levy				\$718
NET TAX				\$3,385

Proposed Estimated Tax Liability

Income Source	Amount Received	Deduction	Taxable Income	Tax
Gross Income	\$35,920			
Deductions				
Total deductions		NIL		
Additional concessional contribution		\$13,920		
TAXABLE INCOME			\$22,000	
Tax Payable before Rebates/Credits				\$722
LESS Rebates & Credits				
Low to Mid Tax Offset				(\$0)
Low Income tax Offset				(\$700)
Total Rebates & Credits				(\$22)
TAX PAYABLE after REBATES & CREDITS				\$22
Medicare Levy				\$0
NET TAX				\$22

Note: the additional \$13,920 superannuation contribution will be subject to contributions tax of 15% (\$2,088). Therefore, total tax incurred will be \$2,110

Therefore, the overall tax benefit is anticipated to be \$1,275 p.a. (\$3,385 – \$2,110).

Tax Liability - Sonia

Current Estimated Tax Liability

Income Source	Amount Received	Deduction	Taxable Income	Tax
Gross Income	\$66,829			
Deductions				
Total deductions		Nil		
TAXABLE INCOME			\$66,829	
Tax Payable before Rebates/Credits				\$12,186
LESS Rebates & Credits				
Low Mid Income Tax Offset				(\$0)
Total Rebates & Credits				(\$0)
TAX PAYABLE after REBATES & CREDITS				\$12,186
Medicare Levy				\$1,337
NET TAX				\$13,523

Proposed Estimated Tax Liability

Income Source	Amount Received	Deduction	Taxable Income	Tax
Gross Income	\$66,829			
Deductions				
Additional concessional contribution		\$21,829		
TAXABLE INCOME			\$45,000	
Tax Payable before Rebates/Credits				\$5,092
LESS Rebates & Credits				
Low Mid Income Tax Offset				(\$325)
Total Rebates & Credits				(\$325)
TAX PAYABLE after REBATES & CREDITS				\$4,767
Medicare Levy				\$900
NET TAX				\$5,667

Note: the additional \$21,829 superannuation contribution will be subject to contributions tax of 15% (\$3,274). Therefore, total tax incurred will be \$8,941

Therefore, the overall tax benefit is anticipated to be \$4,582 p.a. (\$13,523 – \$8,941).

- **Gavin, if you contribute the recommended additional concessional contributions into superannuation available to you, the income tax saving over the next four years is estimated to be \$5,503.**
 - The additional concessional contribution is spread over four years in order to achieve the most tax-beneficial outcome.

		2022/23	2023/24	2024/25	2025/26	Total
	Concessional Contribution Cap	\$27,500	\$27,500	\$27,500	\$27,500	
	Personal Concessional Contributions Available (including 'carry forward' contributions)	\$118,515	\$95,790	\$76,767	\$62,240	
	Carry Forward Contribution	-	-	-	-	
	Current Concessional Contribution	\$5,200	\$5,200	\$5,200	\$5,200	\$20,800
	Additional Concessional Contribution	\$13,920	\$13,920	\$13,920	\$12,753	\$54,513
	Total Concessional Contribution	\$19,120	\$19,120	\$19,120	\$17,953	\$75,113
	Taxable Income	\$22,000	\$22,000	\$22,000	\$23,167	
	Reduction in Income Tax Payable	\$1,275	\$1,275	\$1,275	\$1,228	\$5,503

- **Sonia, if you contribute the recommended additional concessional contributions and 'carry-forward' contributions available to you, the income tax saving over the next four years is estimated to be \$13,746.**
 - The carry-forward contribution is spread across three years in order to achieve the most tax-beneficial outcome.

**It is assumed existing employer contributions remain the same through these 4 years at \$3,245 p.a.*

		2022/23	2023/24	2024/25	2025/26	Total
	Concessional Contribution Cap	\$27,500	\$27,500	\$27,500	\$27,500	
	Personal Concessional Contributions Available (including 'carry forward' contributions)	\$118,515	\$95,995	\$72,886	\$49,455	
	Carry Forward Contribution				-	
	Additional Concessional Contribution	\$21,829	\$21,829	\$21,829	-	\$65,487
	Total Concessional Contribution	\$21,829	\$21,829	\$21,829	-	\$65,487
	Taxable Income	\$45,000	\$45,000	\$45,000	\$66,829	
	Reduction in Income Tax Payable	\$4,582	\$4,582	\$4,582	-	\$13,746

Risks:

- Superannuation benefits are subject to market returns and earning rates are not guaranteed.

Investments Outside Of Superannuation

- Sonia and Gavin, you currently have surplus funds of \$150,000 which are sitting in a bank account. Of this, you wish to use approximately \$30,000 for future home renovations. Therefore, you have \$120,000 available to you.
- You seek advice with respect to the best use of these funds.

Recommendation:

- Gavin and Sonia, we suggest directing the surplus monies into superannuation via the contribution strategy previously detailed.

Benefits:

- Any assets held within the fund are effectively being held in the most tax effective environment.
- The returns on balances held within superannuation and invested should be higher than the current returns on cash held in bank deposits.

Risks:

- Superannuation benefits are subject to market returns and earning rates are not guaranteed.

What is paid to your adviser

Plan Fee

You have agreed to a Plan Fee of \$3,000+GST, which will be invoiced to you.

Upfront and Ongoing Fee Disclosure

The following is provided to assist you to gain a clear understanding of the payments and benefits that Pareto Group Pty Ltd, our associates and I will be entitled to receive for services provided to you, if you adopt the recommendations in this plan.

Investment Details	Amount Invested	Total Fee Paid by Client		Total Payable to Financial Service Licensee/Financial Adviser and /or its Associates			
		(%)	(\$)	Initial (%)	Initial (\$)	Ongoing (%)	Ongoing (\$)
Colonial FirstChoice Wholesale Super – Gavin	\$40,784	Flat Fee	-	Flat Fee	-	0.60 p.a.	\$244 p.a.
Colonial FirstChoice Wholesale Super – Sonia	\$38,684	Flat Fee	-	Flat Fee	-	0.60 p.a.	\$232 p.a.
Total	\$79,468		-		-		\$476 p.a.

* The ongoing investment amount has been annualised to provide you with a clear picture of how fees are paid from your investment. Your regular contribution is placed into the individual underlying funds according to the % split of the allocation of your original investment.

The agreed Ongoing fee is the way we charge for the ongoing service that we provide. If at any time you wish to discuss this you can do so.

I am an authorised representative of Pareto Group Pty Ltd (ABN 11 155 278 078), which holds an Australian Financial Services Licence (AFSL #418700)

Disclosure Statement

To help you understand the full benefits, details and risks of our recommended products, please read the Product Disclosure Statements that we will provide you.

Please let us know if you have any questions.

Cooling-off periods

After investing in a financial product, you have a “cooling-off” period in which to change your mind if you don’t think the product meets your needs. The cooling-off period usually starts when you’re told the product has been set up. The length of the period varies with each product.

Each Product Disclosure Statement explains your cooling-off rights.

If you wish to cancel a product, please tell us in writing so we can contact the product issuer within the time restrictions.

No guarantee

The investments we recommend for you must be appropriate for you. However, we don’t guarantee they’re the best available or that they’ll perform in a particular way. Product performance depends on the features and risks described in the Product Disclosure Statements given to you.

Please take the time to read the PDS and understand the products we have recommended. If you have any questions, please contact us.

Tax

There will be tax implications if you act on this advice. We recommend you ask a tax professional to assess the impact on your short and long-term financial positions.

Are My Product Recommendations Restricted?

Non-Superannuation Products

Yes, when making non-superannuation product recommendations I can only choose products from our Approved Product List (APL). This list is compiled by a dedicated Investment Committee, made up of Research Manager, Directors and Representatives who carefully analyse investment products, prior to including any product on the APL. The Committee utilises leading industry research houses to assist with their analysis.

The APL is regularly reviewed to ensure that all funds, managers and investment companies continue to meet our ongoing stringent requirements.

Superannuation Products

Yes, when making superannuation product recommendations I can only choose products from our Approved Product List (APL). However, if you have a superannuation product that is not on our APL, I am still able to make recommendations in relation to that fund providing I have conducted the necessary research and have a thorough knowledge of the fund.

What is My Responsibility to You?

I am responsible for providing you a 'clear, concise & an effective' method of communicating my recommendations to you. The recommendations are based on your goals and objectives, personal and financial situations, and other information collected from you. The recommendations are appropriate for your needs and current situation.

As the SoA is specifically prepared for you and based on your situation, I do not take any responsibility for any third-party persons acting on all or on a part of any advice or recommendations made in this SoA.

Do I Guarantee the Investments I have recommended?

No. By law, the investments I have recommended must be appropriate to you, however, I do not guarantee that the recommended investments are the best for you or that they will perform in a certain way.

Your Financial Plan

In preparing this plan we have taken into account your specific goals and objectives, and have designed an appropriate strategy that aims to accomplish these.

It is important to appreciate that we live in an ever-changing world. Accordingly, it is probable that, overtime, the basis of our calculations (inflation rates, investment rates etc) will change, as will your own requirements and expectations. It is therefore recommended you review your plan on a regular basis to ensure you are still on track to achieve investment objectives.

It is essential to have your investment portfolio reviewed to ensure that the investments are working to their maximum potential and any changes to the investment markets, taxation etc. are promptly and correctly responded to.

Next steps

How to get started

To implement our recommendations in this plan, please do the following:

- Make sure you read this Statement of Advice and Product Disclosure Statements (if applicable)
- Contact us if you have any questions
- Tell us immediately if any information is incorrect

Finally

Please note, as with any investments, their future value may fluctuate, particular rates of return cannot be guaranteed and you may not get back what you originally invested. We have provided a brief summary of the managed investment products recommended, however, you will need to study the investment statements of the recommended products carefully before you decide to invest.

Appendix A – Assumptions

In preparing your financial strategy, it is necessary to make certain assumptions. These are outlined below.

- Current superannuation rules, taxation legislation and social security rates have been used;
- Where applicable Medicare Levy of 2.0% is included on marginal tax rates;
- Superannuation contributions tax of 15% is taken into consideration where relevant.